TEACHER GUIDE

WJEC GCE A Level in Business (1510QS)

# Business strategy

Unit 3: Business Analysis and Strategy
**Strategy and implementation**



A revision lesson. Pupils run a car dealership in firms of four and revise business strategy on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Growth strategy

Round 1

You launch a monthly subscription service for your existing customers.

**Which growth strategy is this?**

- **A** Current products for new buyers
- **B** A new product for current buyers
- **C** A new product for new buyers
- **D** More of the same, current buyers

**ANSWER**

**✓ A new product for current buyers**

**Why:** A new service sold to the buyers you already have is product development.

## 2 When quality pays

Round 1

You compete with the best service and longest warranty in town.

**Which two must be true for this to pay?**

- **A** Rivals find it hard to copy
- **B** Your prices are below rivals'
- **C** Buyers choose on price alone
- **D** Buyers will pay more for it
- **E** Your costs are the lowest in town

**ANSWER**

**✓ Rivals find it hard to copy**
**✓ Buyers will pay more for it**

**Why:** A difference pays only if buyers value it and rivals cannot copy it.

## 3 Rank profit per car

Round 2

Three dealers: their price and cost per car.

**Order by profit per car, highest first?**

- **A** Price £20,000, cost £16,500
- **B** Price £18,000, cost £14,000
- **C** Price £24,000, cost £21,000

**ANSWER**

1. **Price £18,000, cost £14,000**
2. **Price £20,000, cost £16,500**
3. **Price £24,000, cost £21,000**

**Why:** £4,000, £3,500, £3,000: the cheapest dealer earns most per car.

# Topic tasks

## 4 Lowest-cost plan

Round 2

A plan to have the lowest costs in town.

**New profit per car?**

| | |
|---|---|
| Price per car now | **£18,500** |
| Cost per car now | **£15,500** |
| Price cut | **2%** |
| Cost cut | **10%** |

**ANSWER**

**£4,180**

£18,500 × 98% − £15,500 × 90% = £4,180

**Why:** Lowest costs let you price below rivals and still earn more per car.

## 5 Where to grow

Round 3

You already hold 80% of your local market, and that market has stopped growing.

**Where should you grow, and why?**

**A** Harder in the local market

**B** In a new region

**ANSWER**

**✓ In a new region**

**Why:** With 80% of a flat market, there is little left to win locally.

## 6 Stuck in the middle

Round 3

Your costs are above the discount dealer's, and your service is no better than rivals'.

**What is the main risk to your firm?**

**A** Rivals copy your service

**B** Too many buyers to serve

**C** Low profit: no edge on cost or service

**D** High profit from mixing both

**ANSWER**

**✓ Low profit: no edge on cost or service**

**Why:** With no cost lead and no clear difference, profit is squeezed.

# Final questions

Each pupil answers 6 final questions on business strategy. They come from these 10 questions.

1. A dealer aims to raise market share without cutting its gross profit margin. Which measure best tests both parts?
   ✔ **Compare market share and gross margin with the previous period**

2. A dealer group swaps 'grow quickly' for 'open two profitable North West branches by December 2028'. Why is this objective stronger?
   ✔ **It is specific, measurable and time-bound, so progress can be tested**

3. A dealer group seeks fast regional growth, but its owners also require a minimum liquidity buffer. Strongest planning approach?
   ✔ **Pair the growth target with a cash limit; test scenarios**

4. A border delay halts a critical parts supplier for ten days. Which response separates immediate continuity from longer-term resilience?
   ✔ **Prioritise scarce parts and tell customers now; review suppliers later**

5. A cyber incident disables online workshop bookings. Which operational priority is strongest?
   ✔ **Use a tested manual route; restore safely**

6. An edited video of a sales talk goes viral before the firm knows the full context. Best first public response?
   ✔ **State verified facts and promise an update**

7. A fire closes the group's highest-revenue branch. Which decision principle is strongest in the first 24 hours?
   ✔ **Protect people and keep services going**

8. An online marketplace connects many sellers directly with buyers. Which Five Forces effect most threatens a weakly differentiated traditional dealer?
   ✔ **Buyer power and rivalry may rise**

9. A small dealer cannot match a platform’s scale but has trusted expertise in wheelchair-accessible vehicles. Most defensible position?
   ✔ **Focus on the specialist niche**

10. A dealer has strong electric-vehicle expertise but weak capital reserves. Which strategic choice best uses the evidence?
    ✔ **A focused EV service niche at small scale**